

"NO ONE HAS BEEN FIRED. POLISHERS ARE OUR INDUSTRY'S BACKBONE. ONLY WORK HOURS HAVE BEEN REDUCED TO REGULATE MINED DIAMONDS SUPPLY"

–VIPUL SHAH, *Chairman, Gems and Jewellery Export Promotion Council*

hired 20 locals," says Govind Dholakia, its founder and chairman.

"The big companies are exporting the entire industry to Africa," laments Tank. "Our polishers are lured there to train the Africans and end up being exploited. Some 25 companies from Surat have set up shop there." Paul Rowley, executive vice-president at De Beers, confirms the figure when he says the corporation is "supporting 29 factories in Botswana and a majority of them are from India". "The diamond consumer market," he adds, "is only going to expand in the years to come; so we don't see that as a problem.... Seventy per cent of our roughs come to India and 90 per cent polished diamonds go through India. That is not going to change."

On the ground, though, the change is visible. On the one hand, roughs have become pricier for Surat's diamantaires, and on the other, there is a sudden glut of polished diamonds in the market owing to fewer buyers. As a result, the price of finished mined diamonds has plummeted. To arrest this slide, the supply of polished diamonds has had to be 'regulated'—and hence the layoffs, or, as the industry leaders put it, reduction of work hours. "No one has been fired," says Vipul Shah, chairman of the GJEPC. "Only work hours have been reduced to regulate the supply of real (mined) diamonds in the market." Another office-bearer concedes that had they not taken such measures to stop the falling prices, there would have been "50,000 job cuts instead of 15,000".

Dholakia, meanwhile, denies any connection between the recent suicides and economic distress. "The loss of business in real (mined) diamonds is being offset by lab-grown diamonds (LGDs)," he insists. "There are no mass layoffs." Earlier dismissed as 'fake', LGDs have caught the fancy of young first-time buyers lately, thanks to their lower prices and 'ethical' manufacturing. Produced by replicating the natural process of diamond formation in a controlled laboratory environment, these synthetic diamonds have the same chemical, physical and optical properties as their natural counterparts, and have flooded the global markets in the past couple of years.

But are LGDs really offsetting the loss of business, as Dholakia claims? Or are they part of the problem? The glut is mainly being pushed by China, which produces over half the gem-quality LGDs. India is a distant second, with about a sixth of the share. In terms of exports, the GJEPC data reveals, polished LGDs saw a nearly 30 per cent YoY growth in FY23, but there has been a reversal in the very first quarter of this fiscal. Exports stood at about Rs 2,800 crore in April-June 2023, a 24 per cent YoY decline from Rs 3,700 crore in April-June 2022. Reason: the demand for LGDs has also stagnated amid the global economic slowdown, though their prices, too, have taken a hit.

A 1 carat generic polished LGD, for instance, that cost about $5,500 (Rs 4.6 lakh) in 2016, was available for around $1,500 (Rs 1.2 lakh) at the beginning of this year, a 75 per cent drop, according to a January 2023 report by global diamond trade analyst Paul Zimnisky. In the same period, the price of an equivalent natural stone had dipped by about 20 per cent, from $6,500 (Rs 5.4 lakh) to $5,200 (Rs 4.3 lakh), the report stated. The prices have only slid further since then.

The number of LGD growers in India is not more than 50 right now, and they have their own in-house polishing facilities—the LGD roughs need to be cut and polished just like mined diamonds. Additionally, as per industry estimates, over 1,000 small- and medium-sized polishing units have taken to processing LGDs exclusively, with another 2,000 or so polishing both types of diamonds. According to the Government of India's official estimates, the global LGD market will grow from $1 billion (Rs 8,327 crore) back in 2020 to $15 billion (Rs 1.25 lakh crore) by 2035. It was perhaps sensing this potential that the Union government in its latest budget abolished the 5 per cent customs duty on the imports of diamond seeds (the wafer-thin diamond segment used to grow LGDs), and sanctioned a grant of Rs 243 crore to the Indian Institute of Technology (IIT), Madras, to conduct research on producing indigenous "machinery, seeds and recipe" for LGDs.

Though there are a few who feel that the LGD industry needs to be regulated for the mined diamond industry to survive, leading diamond exporters and polishers are confident that LGDs won't cannibalise the latter, reasoning that they cater to the lower end of the market. "The global demand for diamonds is increasing by 2-3 per cent annually," says Shah. "As soon as the Chinese market opens up, the glut is going to reverse." As the availability of mined diamond reduces, he adds, their prices will rise, as will the prices of LGDs. Currently, the annual output of LGD roughs is only a quarter of the mined diamonds. Hope, therefore, Shah insists, is around the corner.

True, Surat's diamantaires have weathered many a storm before, but the current crisis seems more fundamental than cyclical. Rushita and Parth's escape from their family's chilling suicide pact serves as a grim parable of the crossroads Surat's diamond polishers find themselves at today. ■